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الجامعة العربية المفتوحة
Arab Open University

Name: .....
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Faculty of Business Studies
Principles of Macroeconomics ECO102
Mid-Term Assessment (MTA) – Form B

Fall 2025-2026 20-November-2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 1.5 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinati
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Academic year	2025-2026
Semester	Fall
Exam type	Mid Term
Exam date	
Section No.	

Question	Mark	Signature
Q1		
Q2		
Q3		
Total		
In words:		

COMMENTS:

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QUESTION ONE (6 marks)

Select the correct answer and **write it** in the space provided. (1 mark for each question).

1. The central problem in economics is:
   A) Unlimited resources
   B) Scarcity
   C) Lack of technology
   D) Government intervention

1. Answer:

2. Which of the following is a normative statement?
   A) The unemployment rate is 4%
   B) Raising interest rates reduces inflation
   C) The government should reduce income inequality
   D) A fall in oil prices lowers transportation costs

2. Answer:

3. When economists talk about incentives, they mean:
   A) Only financial rewards for businesses
   B) Any reward that encourages action or penalty that discourages it
   C) Government subsidies only
   D) Long-run technological advances

3. Answer:

4. The circular flow model shows that consumer goods and services produced by business firms are sold in the
   A) goods market.
   B) factor market.
   C) labor market.
   D) financial market.

4. Answer:

5. In the expenditure approach, GDP is calculated as:
   A) C + S + T + (X – M)
   B) Y + W + R + P
   C) C + I + G + (X – M)
   D) Consumption + Investment + Taxes + Imports

5. Answer:

6. "Gross" in GDP means:
   A) Production within the nation's borders
   B) Before deducting depreciation of capital
   C) Excluding imports from expenditure
   D) Valued at current year prices

6. Answer:

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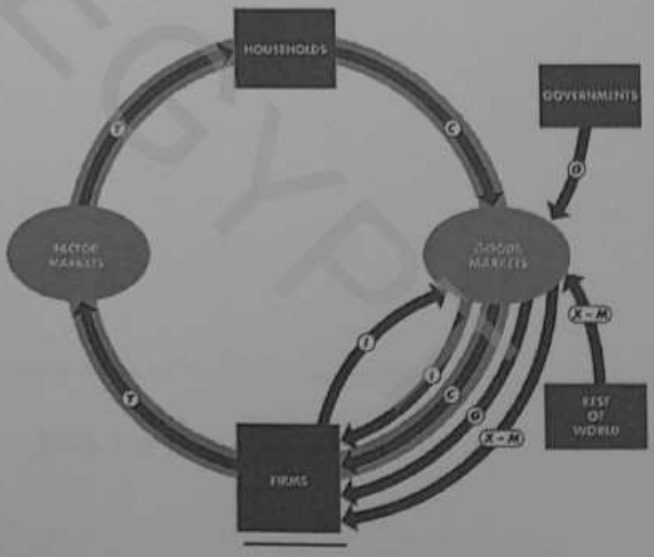
QUESTION TWO: (12 MARKS)

2A. Briefly discuss the difference between nominal GDP and real GDP. Why is real GDP preferred for measuring economic growth? (4 marks)

2B. Suppose in a given year, Consumption = $500 billion, Investment = $200 billion, Government spending = $300 billion, Exports = $100 billion, and Imports = $150 billion. (4 marks)

- Calculate GDP using the expenditure approach. (show the equation)

2C. Using the following circular flow diagram, briefly explain how households and firms interact in goods markets and factor markets. (4 marks)



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QUESTION 3: (12 MARKS)

3A. The working-age population is divided into two groups: people in the labor force and people not in the labor force. Briefly explain the difference between these two groups. (6 marks)

3B. Explain the concept of Gross Domestic Product (GDP), what are its four key components. (6 marks)

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END OF THE EXAM

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